

Executive decision

Northwind Traders: Commercial Margin & Discount Optimization

Recover $55,274.80 in gross profit by ending broad deep-discounting while preserving targeted exceptions.

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DECISION

Eliminate deep discount tiers and cap self-serve concessions at 10%

20% + 25%

Remove immediately

Remove the 20% and 25% discount tiers immediately.

+$55,274.80

Expected recovery

Gross profit over the next 2 quarters.

10%

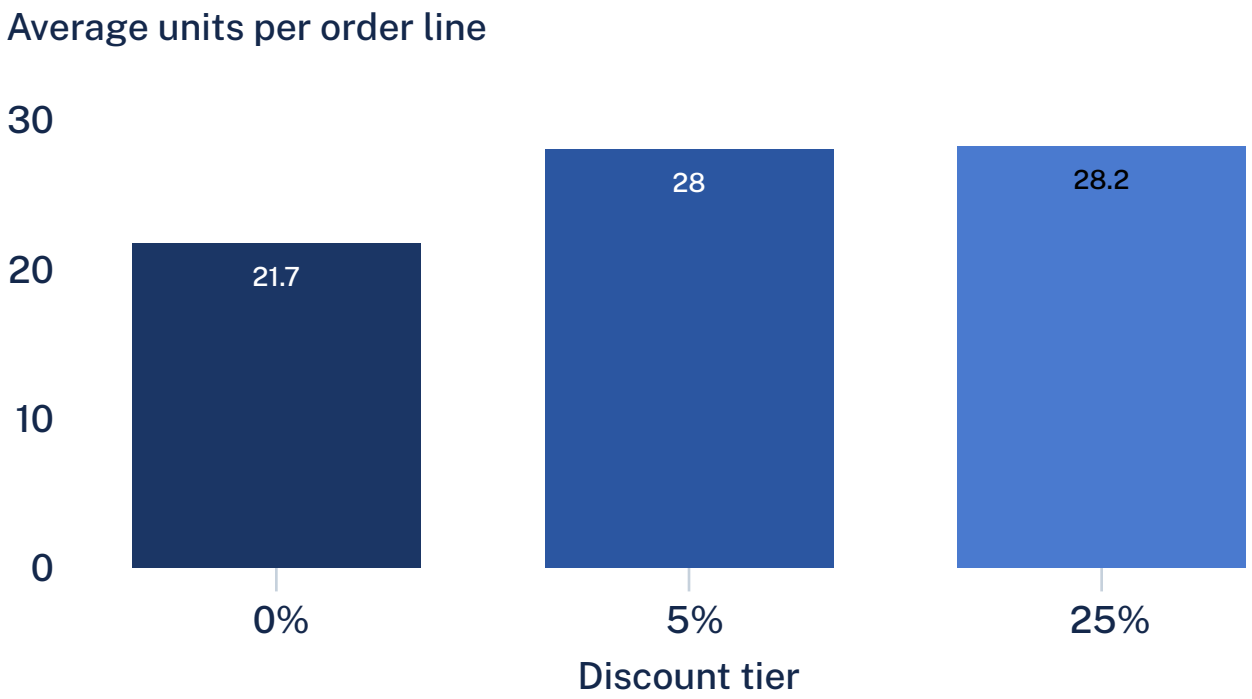
Control point

Concessions above 10% require VP Sales authorization tied to annual contract commitments.

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EVIDENCE

Discount depth stopped creating meaningful volume



Average units per order line by discount tier.

+0.2 units

Moving from 5% to 25% added only 0.2 units while sacrificing $32,979.52 in cash.

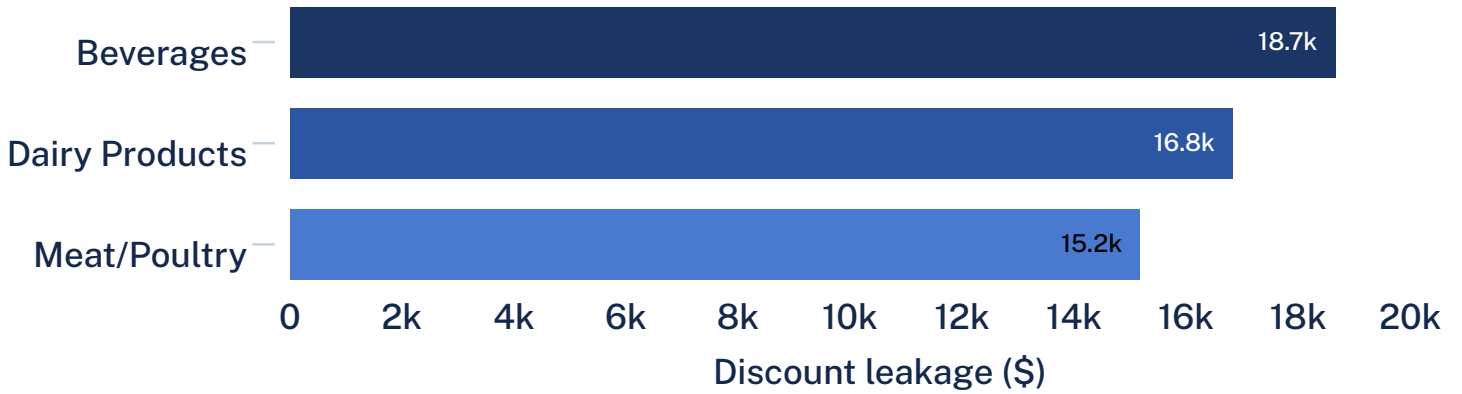
Volume plateaus

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WHERE MARGIN LEAKS

High-loss categories were already selling on brand strength





Beverages, Dairy Products, and Meat/Poultry concentrate the avoidable margin loss.

Beverages: $286k sales; $18,658.77 leaked. Flagship Côte de Blaye wine sells out at full price. Dairy Products: $251k sales; $16,823.22 leaked on artisanal imported cheeses. Meat/Poultry: $15,166.44 leaked. Takeaway: brand-driven demand made these categories price-inelastic.

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EXCEPTIONS

Keep discounts only where they change the outcome

$5.2k / $4.9k

Perishable clearance

Produce and Grains had the lowest discount waste. Discounts accelerated stock turnover by 40%, avoiding spoilage and write-offs.

68%

New client acquisition

Introductory 10% onboarding discounts produced a 68% repeat purchase rate within 90 days.

Retain only targeted discounts for expiring batches and new client onboarding

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WHAT THE DATA CANNOT ANSWER

The business case is strong, with three known limitations

Direct COGS absent

The database records sales prices but omits supplier acquisition costs; margins are measured through gross list price preservation.

Timeframe

23-month historical window from July 1996 to May 1998.

Competitor data

External competitor pricing campaigns during the period were unrecorded.

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90-DAY IMPLEMENTATION

Execute the cap in three phases over 90 days

Days 1–15

Lock the ceiling

IT locks ERP sales order entry at a 10% ceiling and removes the 20% and 25% buttons.

Days 16–45

Protect key accounts

VP Sales meets top wholesale accounts, including Quick-Stop, Save-a-lot, and Ernst Handel, to offer tiered freight subsidies instead of product markdowns.

Days 46–90

Audit the result

Finance audits gross margin gains against the $55,274 recovery target.

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ACTION REQUESTED

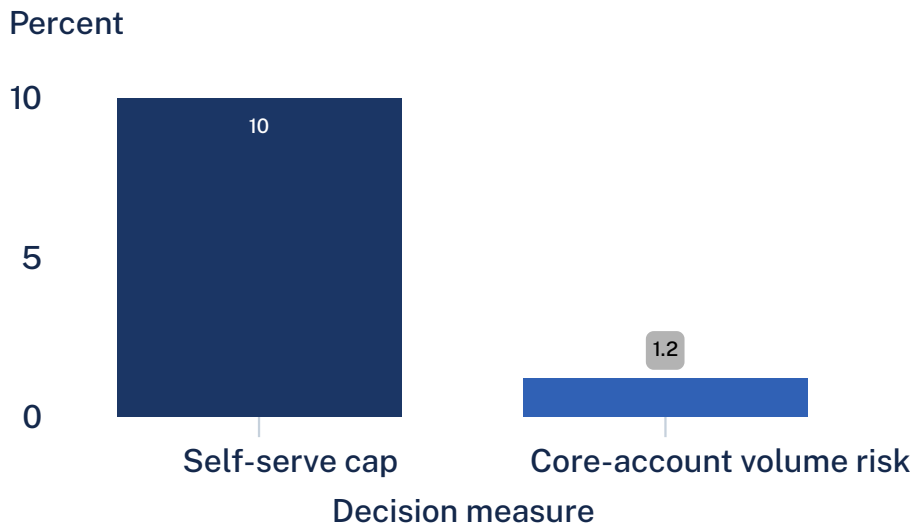
Approve the 10% cap today

+$55,274.80

Annual profit recovered.

Board approval to enact the 10% discount cap today.

Technical validation: SQL reproducibility queries are attached in the appendix.



Volume risk to core accounts: <1.2%.

Approve today

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